The Lehman Brothers Collapse – Ethical Violations, Stakeholders, Prevention, and Impact on Financial Regulations

Introduction

The 2008 fall of Lehman Brothers was a turning point in the history of finance. It led to a global financial crisis. As a result of this event, many changes were made to financial rules and company governance because of serious ethical problems and weak regulations. This assignment will look at the main ethical mistakes made by Lehman Brothers, the people who were affected, what could be done to stop the problems, and how the collapse changed the rules for financial institutions.

Why Is This Case Ideal for My Assignment?

Lehman Brothers brilliantly illustrates **Investment Management** concepts including risk assessment, leverage, asset management, and liquidity. Look at how bad investment decisions and oversight put down a major financial player, harming investors and the global economy.

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Question- 1: Core Ethical Violations at Lehman Brothers

a) **Misleading Financial Reporting**: The Repo 105 (Repurchase Agreement) transactions are a prime illustration of Lehman Brothers' unethical conduct. These transactions allowed Lehman to temporarily remove $50 billion in debt, making it sound healthier than it was. This deception deceived officials, investors, and other stakeholders about the firm's risks.

Example: The Repo 105 transactions were disguised loans classified as sales, hiding Lehman's debt, and creating a misleading financial outlook. That's given below:

"Balance Sheet" Before Repo 105: (True Financial Position)				
Particular	$ (in Billions)		Particular	$ (in Billions)
Assets:			**Liabilities:**	
Cash & Cash Equivalents	$42		Short-Term Debts	$100
Investment in Mortgage Securities	$175		Long-Term Debts	$200
Other Investments (Derivatives)	$222		Liabilities to Creditors	$293
Other Assetes	$180		Other Liabilities	$70
Property, Plant & Equipment	$20		**Total Liabilities**	**$663**
Total Assetes	**$639**		**Equity (Share Holder)**	($24)

Interpretation:

- ✓ Company had $639 billion in assets and $663 billion in liabilities, indicating unstable finances.
- ✓ Negative equity of -$24 billion resulted in debts above assets, destroying shareholder investments.
- ✓ A large $175 billion invested in risky mortgage-backed assets, risking the corporation in a housing market collapse.

"Balance Sheet" After Repo 105: (Manipulated Financial Position)			
Particular	$ (in Billions)	Particular	$ (in Billions)
Assets:		**Liabilities:**	
Cash & Cash Equivalents	$42	Short-Term Debts	$50
Investment in Mortgage Securities	$175	Long-Term Debts	$200
Other Investments (Derivatives)	$222	Liabilities to Creditors	$293
Other Assetes	$180	Other Liabilities	$70
Property, Plant & Equipment	$20	**Total Liabilities**	**$613**
Total Assetes	**$639**	**Equity (Share Holder)**	**$26**

Interpretation:

- ✓ Temporary Debt Removal: Lehman used Repo 105 to temporarily remove $50 billion in short-term obligations, reducing its liabilities to $613 billion.
- ✓ Misleading Positive Equity: Lehman falsely reported $26 billion in positive equity by reducing debt, misleading investors and regulators about its financial soundness.

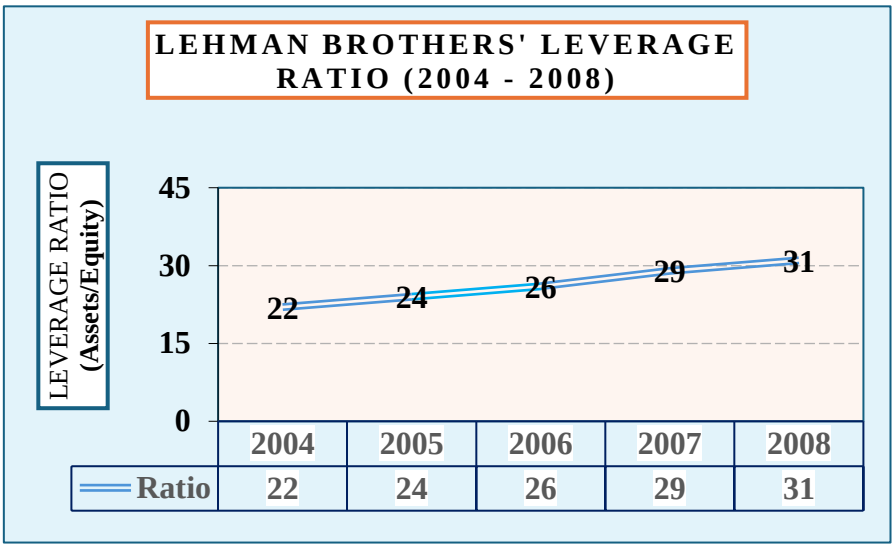
Why Using Both Balance Sheets is Effective:

i. Demonstrates the Unethical Practice Clearly: The first balance sheet **(before Repo 105)** shows the **true** financial state of Lehman Brothers, with higher liabilities and negative equity. This shows how much debt and financial danger the firm had.

   The second balance sheet **(after Repo 105)** The modified version shows that Lehman has reduced $50 billion in liabilities, falsely reducing their debt to appear profitable.

ii. **Visualizes the Ethical Violation:** By providing both versions, I can compare the company's true financial status to the misleading one they gave investors and regulators. This contrast shows how unethical debt concealing is.

b) **Risk Management Failures:** The 2004–2008 Leverage Ratio graph shows Lehman Brothers' increasing risk-taking. By 2008, Lehman had over $30 in assets, mostly debt-funded, for every dollar in equity. High leverage made the business vulnerable to losses, especially when its mortgage-backed assets fell during the housing crisis.



Interpretation:

- ✓ Leverage ratio increased from 22:1 to 31:1, indicate borrowing.
- ✓ High leverage exposed to market downturns, especially in 2008.
- ✓ Decreased assets during the financial crisis led to collapse.
- ✓ High leverage reflects reckless risk-taking.

Lesson-Learning:

Lehman Brothers' collapse emphasizes financial reporting openness and accountability. Companies must follow ethical accounting standards, prevent excessive leverage, and manage risk to protect stakeholders and market trust.

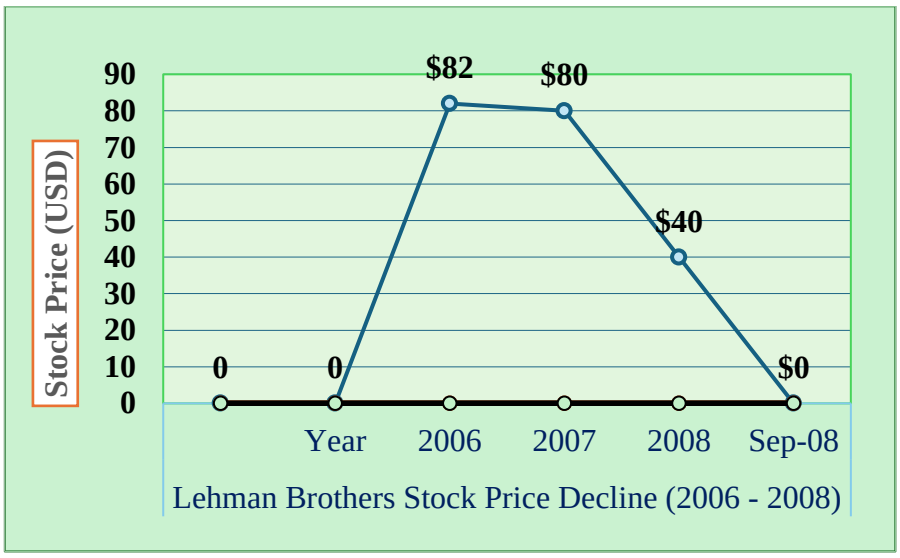
Question- 2: Key Stakeholders Affected by Lehman Brothers' Collapse

The collapse had a profound effect on multiple stakeholders, including:

1. Investors and shareholders: Investors and stockholders who placed their trust in the corporation suffered significant losses during this collapse. The stock market crash, excessive debt, and risky investments cost them extremely.

The graph below shows that Lehman Brothers' stock price sank between 2006 and 2008. In September 2008, it dropped to almost $0 from over $80 per share in 2006.

Individual and pension investors lost a lot when Lehman's shares fell from $85 to $0.20.



Lesson: Lehman Brothers' stock collapse illustrates financial analysis. High stock prices could hide financial concerns, as investors and stockholders lost big. Discipline is needed to avoid financial harm.

2. Employees: More than 25,000 people lost their jobs, and many of them also lost their savings because they had invested in the company's stock.

Lesson: Companies must promote sustainable business practices and ethical risk management to protect employees' finances.

3. Clients and Counterparties: Finance companies that conducted business with Lehman lost huge amounts of money, causing market volatility.

4. Global Financial System: Lehman's failure made the global financial crisis harder by cutting off liquidity and starting a chain of events that led to a global recession.

Lesson: When a big institution fails, it can have effects worldwide. Strengthened international oversight is needed to stop effects that spread so far.

Question- 3: Preventive Measures for Unethical Behavior

There were several ways avoid Lehman Brothers' unethical conduct and collapse:

1. Stricter Regulatory Oversight: The Securities and Exchange Commission (SEC) and other regulators should have done more thorough audits, focused on things like the Repo 105 deals.

2. Improved Corporate Governance: Lehman's board of directors didn't keep an eye on risky choices as they should have. Strengthening the board's risk management function might have helped the corporation make better decisions.

Lesson: Boards must always monitor and address management, especially in high-risk situations.

3. Ethical Leadership: The executive in charge at Lehman created an image of taking risks to try to earn profits quickly. Ethics programs may have promoted responsibility.

Example: A in a company- code of ethics and lessons might have helped leaders and staff make ethical decisions.

4. Reforming Executive Compensation: Lehman executives' compensation was related to short-term earnings, promoting risk-taking. Incentives based on long-term success may have lower profit importance.

Lesson: The pay for executives should encourage long-term success and avoid taking risks without thinking.

Question- 4: Impact on Financial Regulations and Corporate Governance

Laws like the Dodd-Frank Wall Street Reform and Consumer Protection Act were made possible by the failure of Lehman Brothers. Many important changes were made by this law, including:

1. Volcker Rule: This rule says banks can't do private trade, which was one of the risky things Lehman did.

2. Orderly Liquidation Authority: This helps officials deal the closing down of failed banks so that there isn't a team fail like the one that happened with Lehman.

3. Stress Tests and Living Wills: Banks now must go with stress tests on a regular basis to see how well they can handle economic shocks. Live wills must be submitted to indicate how they will cease to exist.

Lesson: By making sure that banks can handle financial stress and be broken down without causing systemic risk, these steps help stop future bank failures.

4. Changes to corporate governance: After Lehman Brothers went bankrupt, board decisions and risk management methods were better supervised. Long-term success now drives benefits, and evaluation has improved.

Lesson: Corporate governance reforms hold boards and CEOs accountable for their choices, prioritizing long-term stability over short-term profits.

Conclusion

The collapse of Lehman Brothers highlights the need for transparency, ethical leadership, and responsible risk management. The case revealed significant flaws in corporate governance and financial regulation, prompting crucial reforms like the Dodd-Frank Act.

Ultimately, **the lessons learned from Lehman's collapse** emphasize the need for stronger regulation, ethical decision-making, and long-term sustainability in corporate conduct. By adopting these principles, financial institutions can protect their stakeholders and contribute to a more stable global economy.

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